

BE
BE N/A

Hold	\$264.17 ▼ 10.47%	12M Price Target \$310.00	52-Week Range \$23.94 – \$351.28	Market Cap \$75.14B
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BE: Profit-Taking After Massive Run, Brookfield Deal Expands

WHAT HAPPENED

- BE got smoked -10.5% today despite what should've been GREAT news: the Brookfield partnership expanded to \$25 billion for AI infrastructure power. When a stock drops on good news, it usually means "sell the news" — traders who rode this up from \$24 to \$351 are cashing in chips. The stock is still up ~10x from its 52-week low, so people are locking in gains.
- Volume was noticeably lighter today (5.1M vs 14M+ earlier this week) — that tells me this isn't panicked institutional dumping, it's more of a controlled profit-take. But the put/call ratio at 1.99 (nearly 2 puts for every call) means options traders are hedging or betting on more downside near-term.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

POLICY & POLITICAL WATCH

The critical policy tailwind: fuel cells kept their Investment Tax Credit under the 2025 reconciliation bill while solar/wind credits were slashed — that's a HUGE relative advantage and directly explains BE's outperformance. Watch two things: (1) any Treasury guidance on "foreign entity of concern" restrictions that could complicate BE's supply chain, and (2) the FERC interconnection reform debate — if grid connection timelines stay 4-7 years, BE's "power in 90 days" pitch to datacenters keeps winning. Also monitor natural gas policy — BE's fuel cells run on gas, so any Biden-era methane rules being rolled back under Trump is a quiet positive.

IS IT EXPENSIVE?

This is expensive by any traditional measure — market cap of \$75B on ~\$2B of revenue means investors are paying \$35+ for every \$1 of sales, and the company is barely profitable. For comparison, mature power equipment makers trade at 2-4x sales. The bull case: if AI datacenter power demand is a 10-year growth story and BE captures even 15-20% share of on-site generation, today's price looks reasonable in hindsight. But you're paying for perfection.

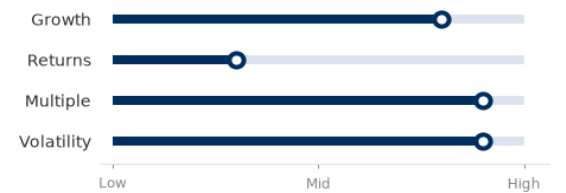
WHAT COULD GO WRONG

- AI capex digestion: if Microsoft, Meta, or Google signals a pause in datacenter buildout (which happened briefly in early 2025), BE gets crushed because it's now viewed as an "AI pick-and-shovel" stock
- Natural gas price spike: BE's economics depend on cheap gas — a cold winter or LNG export surge could compress margins and remind investors this is still a hardware business with mid-teens gross margins

Key Data

Price (USD)	\$264.17
12M Price Target	\$310.00
Upside / (Downside)	+17.3%
Market Cap	\$75.14B
FY2026E Revenue	\$2,150M
FY2027E Revenue	\$2,850M
FY2026E EPS	\$0.35
FY2027E EPS	\$0.75
Fwd P/E	754.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$300.00	\$270.00	\$235.00
6 Months	\$360.00	\$300.00	\$210.00
1 Year	\$425.00	\$310.00	\$180.00
2 Years	\$550.00	\$380.00	\$150.00
5 Years	\$800.00	\$500.00	\$120.00
10 Years	\$1200.00	\$650.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.04%) and Utilities (+1.79%) are leading — the market is finally waking up to the fact that AI needs POWER, not just chips. This is a direct tailwind for BE's ecosystem.

COOLING OFF: High-beta AI names that ran hard in June are seeing rotation — money is moving from "AI story" stocks to "AI enablers" (power, cooling, infrastructure).

ROTATION WATCH: Capital is flowing into the "picks and shovels" of AI — power gen, transmission, datacenter REITs, and cooling. Trump's executive orders prioritizing US energy dominance and AI infrastructure are accelerating this rotation.

RELATED PLAY: If you like the AI power thesis but want less binary risk, look at Vistra (VST), Constellation (CEG), or GE Vernova (GEV) — they're picking up the same tailwind with real earnings and less froth than BE.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Riding the same AI power narrative with actual nuclear + gas generation and much cheaper valuation
- GEV (GE Vernova): Gas turbines are backordered through 2028 — they're selling every unit they can make to datacenter customers

BE CONTEXT: BE has been the LEADER of this trade (up 10x from lows), which is why today's pullback is sharper than peers. When a stock leads a theme, it also leads the profit-taking. If money keeps flowing into AI-power, BE stabilizes and re-accelerates. If the theme cools, BE falls hardest because it has the richest multiple.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the thesis but hate the entry price at \$264 after a 10x run; I'd rather wait for a real pullback than chase.

POSITION SIZE: Keep this at 2-4% max — the story is real but the volatility is brutal, and one bad quarter could mean a 30% drawdown.

ENTRY POINTS: I'd start scaling in around \$230-250 on macro fear days. If we get a real AI capex scare, \$180-200 becomes a fat pitch.

TIME HORIZON: 12-24 months — the catalyst you're waiting for is BE proving the Brookfield deal is turning into actual revenue on the income statement, not just press releases.

WHEN TO BAIL: If a major hyperscaler announces on-site nuclear or a competing fuel cell tech at scale, or if BE misses revenue by more than 10% in any quarter, I'm cutting the position.

HEDGING: Easiest hedge — trim your position by 25-30% here at \$264 and let the rest ride. If you want to get fancy, buy some out-of-the-money put options (basically insurance that pays off if the stock drops) for the next earnings report.